

KENYA COMMERCIAL BANK GROUP
UN AUDITED FINANCIAL STATEMENTS AND OTHER DISCLOSURES FOR THE PERIOD ENDED 30TH JUNE 2014

	BANK				GROUP			
	30-Jun-13 Kshs 000 Un-Audited	31-Dec-13 Kshs 000 Audited	31-Mar-14 Kshs 000 Un-Audited	30-Jun-14 Kshs 000 Un-Audited	30-Jun-13 Kshs 000 Un-Audited	31-Dec-13 Kshs 000 Audited	31-Mar-14 Kshs 000 Un-Audited	30-Jun-14 Kshs 000 Un-Audited
I STATEMENT OF FINANCIAL POSITION								
A ASSETS								
1 Cash (both Local & Foreign)	6,051,699	8,649,573	7,998,013	6,138,382	14,010,794	15,759,310	16,025,722	14,227,426
2 Balances due from Central Bank of Kenya	12,550,051	8,173,873	11,097,457	11,259,020	12,550,051	8,173,873	11,097,457	11,259,020
3 Kenya Government and other securities held for dealing purposes	8,371,984	6,241,984	324,890	15,580	8,371,984	6,241,984	324,890	15,580
4 Financial Assets at fair value through profit and loss	-	-	-	-	-	-	-	-
5 Investment securities: a) Held to Maturity: a. Kenya Government securities	43,063,620	28,504,194	42,573,109	35,386,093	43,063,620	28,504,194	42,573,109	35,386,093
b. Other securities	-	-	-	-	20,296,610	20,344,670	19,247,326	16,002,335
b) Available for sale: a. Kenya Government securities	16,479,741	35,847,320	44,276,899	41,925,495	16,479,741	35,847,320	44,276,899	41,925,495
b. Other securities	2,258,690	2,057,948	1,991,348	2,007,988	2,258,690	2,057,948	1,991,348	2,007,988
6 Deposits and balances due from local banking institutions	-	56,742	0	12,027,608	-	1,059,638	-	12,027,608
7 Deposits and balances due from banking institutions abroad	3,859,339	5,166,173	3,978,497	6,811,035	18,454,592	19,349,766	19,652,813	39,759,061
8 Tax recoverable	734,770	679,218	679,218	127,990	734,770	740,020	722,274	198,428
9 Loans and advances to customers (net)	185,772,742	198,370,069	204,646,324	213,663,852	214,084,969	227,721,781	233,783,558	244,014,013
10 Balances due from group companies	-	-	-	369,257	-	-	-	-
11 Investments in associates	125	125	125	125	-	-	-	-
12 Investments in subsidiary companies	9,777,226	9,827,392	10,727,392	10,467,258	-	-	-	-
13 Investments in joint ventures	-	-	-	-	-	-	-	-
14 Investment properties	-	-	-	-	-	-	-	-
15 Property and equipment	5,505,094	5,363,433	5,380,986	5,245,801	8,832,842	8,484,836	8,232,932	8,314,912
16 Prepaid lease rentals	141,579	139,496	138,872	138,249	145,144	141,642	301,633	293,009
17 Intangible assets	1,010,787	1,334,265	1,221,526	1,172,800	1,037,757	1,403,180	1,306,750	1,280,667
18 Deferred tax asset	1,879,800	2,027,503	2,027,503	2,027,503	1,926,892	2,445,334	2,364,040	2,447,907
19 Retirement benefit asset	-	1,837,000	1,837,000	1,837,000	-	1,837,000	1,837,000	1,837,000
20 Other assets	6,074,597	8,408,546	5,982,111	7,211,816	8,662,559	10,739,083	7,691,085	8,704,454
21 TOTAL ASSETS	303,531,844	322,684,854	344,881,270	357,832,852	370,911,015	390,851,579	411,428,836	439,700,996
B LIABILITIES								
22 Balances due to Central Bank of Kenya	-	-	-	-	-	-	-	-
23 Customer deposits	220,297,871	237,212,782	246,590,369	276,460,447	287,721,186	305,659,189	313,509,755	351,602,752
24 Deposits and balances due to local banking institutions	10,736,867	-	3,331,693	698,506	10,736,867	-	3,331,693	698,506
25 Deposits and balances due to foreign banking institutions	1,781,627	5,516,617	6,965,579	1,415,956	2,744,526	6,650,977	8,362,073	2,940,309
26 Other money market deposits	-	-	-	-	-	-	-	-
27 Borrowed funds	7,804,545	7,073,182	9,661,091	12,502,909	8,207,744	7,719,647	10,279,762	13,116,753
28 Balances due to group companies	4,467,018	5,966,928	6,648,892	-	-	-	-	-
29 Tax payable	-	-	-	-	210,068	179,377	118,300	472,560
30 Dividends payable	-	-	-	-	-	-	-	-
31 Deferred tax liability	-	-	-	-	-	-	-	-
32 Retirement benefit liability	-	-	-	-	-	-	-	-
33 Other liabilities	3,836,824	5,152,306	6,087,035	4,025,684	5,461,025	7,287,423	9,050,090	6,015,583
34 TOTAL LIABILITIES	248,924,752	260,921,815	279,284,658	295,103,502	315,081,416	327,496,613	344,651,673	374,846,463
C SHAREHOLDERS' FUNDS								
35 Paid up /Assigned capital	2,984,228	2,984,228	2,984,228	2,984,228	2,984,228	2,984,228	2,984,228	2,984,228
36 Share premium/(discount)	19,230,561	19,330,200	19,330,200	19,330,200	19,230,561	19,330,200	19,330,200	19,330,200
37 Revaluation reserves	588,613	(163,398)	410,347	(485,604)	24,749	(163,398)	410,347	(320,150)
38 Retained earnings/ Accumulated losses	28,775,834	28,959,018	32,218,846	35,250,279	30,210,561	29,399,826	32,248,278	36,058,889
39 Statutory loan loss reserve	3,027,856	3,220,136	3,220,136	4,185,847	3,379,500	4,371,255	4,371,255	5,336,966
40 Other Reserves/Remeasurement of defined asset/liability	-	1,464,400	1,464,400	1,464,400	-	1,464,400	1,464,400	1,464,400
41 Proposed dividends	-	5,968,455	5,968,455	-	-	5,968,455	5,968,455	-
42 Capital grants	-	-	-	-	-	-	-	-
43 TOTAL SHAREHOLDERS' FUNDS	54,607,092	61,763,039	65,596,612	62,729,350	55,829,599	63,354,966	66,777,163	64,854,533
44 Minority Interest	-	-	-	-	-	-	-	-
45 TOTAL LIABILITIES AND SHAREHOLDERS' FUNDS	303,531,844	322,684,854	344,881,270	357,832,852	370,911,015	390,851,579	411,428,836	439,700,996

	BANK				GROUP			
	30-Jun-13 Kshs 000 Un-Audited	31-Dec-13 Kshs 000 Audited	31-Mar-14 Kshs 000 Un-Audited	30-Jun-14 Kshs 000 Un-Audited	30-Jun-13 Kshs 000 Un-Audited	31-Dec-13 Kshs 000 Audited	31-Mar-14 Kshs 000 Un-Audited	30-Jun-14 Kshs 000 Un-Audited
II STATEMENT OF COMPREHENSIVE INCOME								
1 INTEREST INCOME								
1.1 Loans and advances	13,818,478	28,311,468	7,237,122	14,889,931	15,695,580	32,457,329	8,253,539	17,007,624
1.2 Government securities	3,956,998	7,355,172	2,211,471	4,545,060	4,452,151	8,327,336	2,488,107	5,101,468
1.3 Deposits and placements with banking institutions	311,545	360,946	33,060	200,620	422,784	572,654	75,526	300,203
1.4 Other Interest Income	-	61,488	-	-	-	256,080	-	-
1.5 Total interest income	18,087,021	36,089,074	9,481,653	19,635,611	20,570,515	41,613,399	10,817,172	22,409,295
2 INTEREST EXPENSE								
2.1 Customer deposits	3,237,219	6,447,163	1,979,260	4,179,914	3,937,213	7,871,928	2,279,904	4,961,263
2.2 Deposits and placement from banking institutions	539,712	641,320	125,700	255,744	580,072	757,185	216,138	314,245
2.3 Other interest expenses	-	-	-	-	-	-	-	-
2.4 Total interest expenses	3,776,931	7,088,483	2,104,960	4,435,658	4,517,285	8,629,113	2,496,042	5,275,508
3 NET INTEREST INCOME/(LOSS)	14,310,090	29,000,591	7,376,693	15,199,953	16,053,230	32,984,286	8,321,130	17,133,787
4 OTHER OPERATING INCOME								
4.1 Fees and commissions on loans and advances	1,575,588	3,845,358	877,200	1,778,842	1,722,570	4,684,093	973,467	2,143,999
4.2 Other fees and commissions	1,919,180	3,336,425	975,714	1,987,603	3,312,781	5,816,744	1,734,488	3,525,229
4.3 Foreign exchange trading income	860,264	1,684,575	501,895	1,196,654	1,776,669	3,942,186	1,113,086	2,219,921
4.4 Dividend Income	24	12,009	10	82	24	12,009	10	82
4.5 Other income	1,044,685	2,418,121	949,746	2,341,235	1,131,452	2,670,946	984,647	2,500,001
4.6 Total non-interest income	5,399,741	11,296,488	3,304,565	7,304,416	7,943,496	17,125,978	4,805,698	10,389,232
5 TOTAL OPERATING INCOME	19,709,831	40,297,079	10,681,258	22,504,369	23,996,726	50,110,264	13,126,828	27,523,019
6 OTHER OPERATING EXPENSES								
6.1 Loan loss provision	870,942	1,782,846	813,278	1,326,313	1,212,258	2,905,975	1,109,832	2,209,856
6.2 Staff costs	5,262,158	11,077,167	2,735,371	5,614,043	6,384,615	13,469,900	3,346,537	6,866,393
6.3 Directors' emoluments	78,494	135,794	52,411	80,305	102,554	197,395	90,776	156,295
6.4 Rental charges	173,277	359,805	104,401	230,930	468,251	1,146,429	262,005	534,847
6.5 Depreciation charge on property and equipment	626,083	1,270,770	314,468	623,985	927,050	2,098,691	451,951	907,189
6.6 Amortisation charges	271,175	563,103	108,896	219,343	277,219	580,629	124,528	252,317
6.7 Other operating expenses	3,408,319	7,361,403	1,662,111	3,694,647	4,528,357	9,587,486	2,166,589	4,922,073
6.8 Total other operating expenses	10,690,448	22,550,888	5,790,935	11,789,566	13,900,304	29,986,505	7,552,218	15,848,970
7 Profit/(loss) before tax and exceptional items	9,019,383	17,746,191	4,890,323	10,714,803	10,096,422	20,123,759	5,574,610	11,674,049
8 Exceptional items	-	-	-	-	-	-	-	-
9 Profit/(loss) after exceptional items	9,019,383	17,746,191	4,890,323	10,714,803	10,096,422	20,123,759	5,574,610	11,674,049
10 Current tax	(2,651,592)	(6,040,598)	(1,467,097)	(3,214,441)	(2,500,964)	(6,520,863)	(1,672,383)	(3,502,215)
11 Deferred tax	(54,223)	721,081	-	-	(403,226)	738,486	-	-

12 Profit/(loss) after tax and exceptional items	6,313,568	12,426,674	3,423,226	7,500,362	7,192,232	14,341,382	3,902,227	8,171,834
13 Minority Interest	-	-	-	-	-	-	-	-
14 Profit/(loss) after tax and exceptional items and Minority Interest	6,313,568	12,426,674	3,423,226	7,500,362	7,192,232	14,341,382	3,902,227	8,171,834
15 Other Comprehensive income:								
15.1 Gains/(Losses) from translating the financial statements of foreign operations	-	-	-	-	(69,490)	(736,114)	(480,031)	(138,216)
15.2 Re-measurement of defined benefit pension fund	-	508,900	-	-	-	508,900	-	-
15.2 Fair value changes in available-for-sale financial assets	673,428	(78,581)	573,743	(320,149)	673,428	(78,581)	573,743	(320,149)
16 Other comprehensive income for the year net of tax	673,428	430,319	573,743	(320,149)	603,938	(305,795)	93,712	(458,365)
17 Total Comprehensive income for the year	6,986,996	12,856,993	3,996,969	7,180,213	7,796,170	14,035,587	3,995,939	7,713,469
18 EARNINGS PER SHARE- DILUTED & BASIC KSHS	4.23	4.18	4.59	5.03	4.82	4.82	5.23	5.48
19 DIVIDEND PER SHARE - DECLARED KSHS	-	2.00	-	-	-	2.00	-	-

III OTHER DISCLOSURES								
	30-Jun-13 Kshs 000 Un-Audited	31-Dec-13 Kshs 000 Audited	31-Mar-14 Kshs 000 Un-Audited	30-Jun-14 Kshs 000 Un-Audited	30-Jun-13 Kshs 000 Un-Audited	31-Dec-13 Kshs 000 Audited	31-Mar-14 Kshs 000 Un-Audited	30-Jun-14 Kshs 000 Un-Audited
1 NON-PERFORMING LOANS AND ADVANCES								
a) Gross Non-performing loans and advances	16,064,951	15,199,950	17,894,586	16,235,018	18,654,240	19,227,705	22,456,545	21,720,568
b) Less Interest in Suspense	1,527,283	1,679,228	1,781,064	1,941,406	1,851,909	2,200,117	2,283,881	2,636,266
c)Total Non-Performing Loans and Advances (a-b)	14,537,668	13,520,722	16,113,522	14,293,612	16,802,331	17,027,588	20,172,664	19,084,302
d) Less Loan Loss Provision	7,251,265	6,090,384	6,416,302	7,439,753	7,985,846	6,761,992	7,646,012	9,027,247
e) Net Non-Performing Loans and Advances(c-d)	7,286,403	7,430,338	9,697,220	6,853,859	8,816,485	10,265,596	12,526,652	10,057,055
f) Discounted Value of Securities	6,509,727	5,376,081	7,380,931	6,355,822	8,039,808	6,601,170	10,847,577	10,306,073
g) Net NPLs Exposure (e-f)	776,676	2,054,257	2,316,289	498,037	776,677	3,664,426	1,679,075	(249,018)
2 INSIDER LOANS AND ADVANCES								
a) Directors, Shareholders and Associates	760,059	632,814	899,575	1,816,391	983,175	780,620	1,092,812	1,964,693
b) Employees	6,971,542	7,688,747	8,084,712	8,337,252	7,695,999	8,007,598	8,795,768	9,170,779
c)Total Insider Loans and Advances and other facilities	7,731,601	8,321,561	8,984,287	10,153,643	8,679,174	8,788,218	9,888,581	11,135,472
3 OFF-BALANCE SHEET ITEMS								
a) Letters of credit, guarantees, acceptances	87,908,981	106,425,736	114,314,921	123,917,187	89,708,638	108,989,120	118,579,893	131,435,094
b) Forwards, swaps and options	16,642,503	12,660,294	52,795,995	72,007,408	16,916,595	12,804,686	53,167,058	72,140,142
c) Other contingent liabilities	-	-	-	-	-	-	-	-
d)Total Contingent Liabilities	104,551,484	119,086,030	167,110,916	195,924,595	106,625,233	121,793,806	171,746,951	203,575,236
4 CAPITAL STRENGTH								
a) Core capital	39,455,356	50,905,250	51,590,372	46,460,419				
b) Minimum Statutory Capital	1,000,000	1,000,000	1,000,000	1,000,000				
c) Excess (a-b)	38,455,356	49,905,250	50,590,372	45,460,419				
d) Supplementary Capital	10,832,401	10,293,318	10,289,227	14,060,756				
e) Total Capital (a+d)	50,287,757	61,198,568	61,879,599	60,521,175				
f) Total risk weighted assets	238,940,498	272,565,071	286,801,171	292,090,820				
g) Core Capital/Total deposits Liabilities	17.9%	21.5%	20.9%	16.8%				
h) Minimum statutory Ratio	10.5%	10.5%	10.5%	10.5%				
i) Excess	7.4%	11.0%	10.4%	6.3%				
j) Core Capital / total risk weighted assets	16.5%	18.7%	18.0%	15.9%				
k) Minimum Statutory Ratio	10.5%	10.5%	10.5%	10.5%				
l) Excess (j-k)	6.0%	8.2%	7.5%	5.4%				
m) Total Capital/total risk weighted assets	21.0%	22.5%	21.6%	20.7%				
n) Minimum statutory Ratio	14.5%	14.5%	14.5%	14.5%				
o) Excess (m-n)	6.5%	8.0%	7.1%	6.2%				
5 LIQUIDITY								
a) Liquidity Ratio	33.7%	33.3%	38.0%	40.9%				
b) Minimum Statutory Ratio	20.0%	20.0%	20.0%	20.0%				
c) Excess (a-b)	13.7%	13.3%	18.0%	20.9%				

INTERIM DIVIDEND

The Directors do not recommend payment of interim dividend.

MESSAGE FROM THE DIRECTORS

These financial statements are extracts from the books of the institution. The complete set of quarterly financial statements, statutory and qualitative disclosures can be accessed on the institutions website

They may also be accessed at the institutions head office located at Kencom House, Moi avenue

Ngengy Biwott- Chairman

Joshua Oigara- Group Chief Executive